



INDEPENDENT AUDITOR'S REPORT

The Members of **VIRTUAL GALAXY INSURANCE BROKERS PRIVATE LIMITED**

On the Audit of the Standalone Financial Statements

Opinion

We have audited the standalone financial statements of **VIRTUAL GALAXY INSURANCE BROKERS PRIVATE LIMITED** ("the Company") bearing CIN: U66020KA2020PTC137430), which comprise the Balance Sheet as at 31st March, 2024, and the Statement of Profit and Loss and statement of Cash Flows for the year then ended and notes to the financial statements including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March, 2024, and its profit, its cash flows and the changes in equity for the year ended on that date.

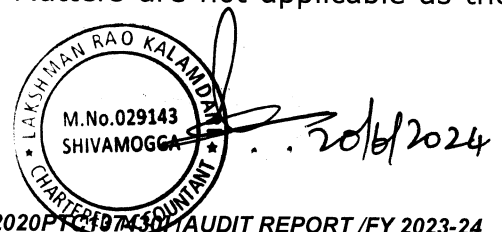
Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing specified under section 143(10) of the Companies Act (the "SAs") 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibility for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India (ICAI) together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone financial statements of the current period. These matters were addressed in the context of our audit of the standalone financial statements as a whole, and in our opinion there are no any such matters to be reported by us.

Reporting of key audit matters as per SA 701, Key Audit Matters are not applicable as the Company is an unlisted company.



VIRTUAL GALAXY INSURANCE BROKERS PRIVATE LIMITED [CIN No. U66020KA2020PTC137430] AUDIT REPORT /FY 2023-24



Responsibility of Management for the Standalone Financial Statements

The Company's Board of Directors are responsible for the matters stated in section 134(5) of the Companies Act 2013 with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance (Changes in Equity) and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the accounting standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibility for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls.

VIRTUAL GALAXY INSURANCE BROKERS PRIVATE LIMITED [CIN No.U66020KA2020PTC137430] AUDIT REPORT /FY 2023-24



- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Our opinion is not modified in respect of these matters.

Information Other than the Financial Statements and Auditor's Report Thereon

- The Company's Board of Directors are responsible for the other information. The other information comprises the information included in the Boards' report but does not include the financial statements and our auditor's report thereon.
- Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.
- In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.
- If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.





Report on Other Legal and Regulatory Requirements

1. The provisions of the Companies (Auditors' Report) Order, 2020 ("the Order") issued by the Central Government of India in term of sub-section (11) of section 143 of the Companies Act, 2013 is not applicable to the Company in view of para 1(2) (iv) and (v) of the said Order.
2. As required by Section 143(3) of the Act, based on our audit we report, that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - c) The Balance Sheet, the Statement of Profit and Loss including, the Cash Flow Statement and Statement of Changes in Equity dealt with by this Report are in agreement with the books of account.
 - d) In our opinion, the aforesaid standalone financial statements comply with the accounting standards specified under section 133 of the Act, read with rule 7 of the Companies (Accounts) Rules, 2014;
 - e) On the basis of the written representations received from the directors as on 31st March, 2024 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2024 from being appointed as a director in terms of Section 164(2) of the Act.
 - f) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls we have to state that in terms of Notification No. GSR 464(E) dt.05.06.2015 as amended by Notification No.GSR No.583 (E) dt.13.06.2017 the provisions of Section 143(3)(i) are not applicable to this company during period under audit.
 - g) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act, as amended, in our opinion and to the best of our information and according to the explanations given to us, the limit prescribed by Section 197 for maximum permissible managerial remuneration is not applicable to a private limited company.
 - h) Since the Company's turnover as per last audited financial statements is less than INR 50 Crores and its borrowings from banks and financial institutions at any time during the year is less than INR 25 Crores, the Company is exempted from getting an audit opinion with respect to the adequacy of the internal financial controls over financial reporting of the company and the operating effectiveness of such controls vide notification GSR 583(E) dated June 13, 2017; and
 - i) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2003, as amended in our opinion and to the best of our information and according to the explanations given to us:

VIRTUAL GALAXY INSURANCE BROKERS PRIVATE LIMITED [CIN No.U66020KA2020PTC137430] **AUDIT REPORT** **SHIVAMOGGA** **25/6/2024** **CHARTERED ACCOUNTANT / FY 2023-24**



- i. The Company does not have any pending litigations which would impact its financial position.
- ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
- iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
- iv. (a) The Management has represented that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities (the "Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall,
 - *directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (the "Ultimate Beneficiaries of funds advanced, loaned or investment"); or
 - *provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries of funds advanced, loaned or investment.
- (b) The Management has represented, that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been received by the Company from any person(s) or entity(ies), including foreign entities (the "Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall,
 - *directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries");
 - *or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (c) Based on the audit procedures that has been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.
- v. The Company has not proposed, declared or paid any interim or final dividend during the year.
- vi. Based on our examination which included test checks, the company has used accounting software for maintaining its books of account for the financial year ended March 31, 2024 which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software. Further, during the course of our audit, we did not come across any instance of the audit trail feature being tampered with.

VIRTUAL GALAXY INSURANCE BROKERS PRIVATE LIMITED [CIN No.U66020KA2020PTC137430] / AUDIT REPORT FOR THE YEAR 2023-24



3. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government in terms of Section 143(11) of the Companies Act, the said order is not applicable as the company is a small company within the definition of Sec.2(85) of the Companies Act 2013.

LAKSHMAN RAO KALAMDANI.

Chartered Accountant

Membership No.029143

BENGALURU, 20th June 2024.

UDIN:24029143BK1JMB3828

ANNEXURE "A" TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in Paragraph 1(f) under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

Report on the Internal Financial Controls Over Financial Reporting under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

Since the company is a small company within the definition of Sec.2(85) and Company's turnover as per last audited financial statements is less than INR 50 Crores and its borrowings from banks and financial institutions at any time during the year is less than INR 25 Crores, the Company is exempted from getting an audit opinion with respect to the adequacy of the internal financial controls over financial reporting of the company and the operating effectiveness of such controls vide number GSR 583(E) Notification dated June 13, 2017;



LAKSHMAN RAO KALAMDANI.

Chartered Accountant

Membership No.029143

BENGALURU, 20th June 2024

UDIN:24029143BK1JMB3828

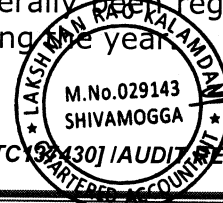


ANNEXURE "B" TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in Paragraph 2 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

In terms of the information and explanations sought by us and given by the Company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief, we state that:

- (i) (a) A. The Company has maintained proper records showing full particulars, including quantitative details and situation of property, plant and equipment and relevant details of right-of-use assets.
B. The Company has maintained proper records showing full particulars of intangible assets.
- (b) The property, plant and equipment and right-of-use assets were physically verified during the year by the Management which, in our opinion, provides for physical verification at reasonable intervals. No material discrepancies were noticed on such verification.
- (c) The Company does not have any immovable properties and hence reporting under clause (i)(c) of the Order is not applicable.
- (d) The Company has not revalued any of its property, plant and equipment (including right-of-use assets) and intangible assets during the year.
- (e) No proceedings have been initiated during the year or are pending against the Company as at 31st March, 2024 for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (as amended in 2016) and rules made there under.
- (ii) (a) There are no inventories as the company is insurance broking company. In our opinion and based on the information and explanations given to us, the coverage and procedure of verification of assets by the Management is appropriate having regard to the size of the Company and the nature of its operations.
- (b) According to the information and explanations given to us, at any point of time of the year, the Company has not been sanctioned any working capital facility from banks or financial institutions on the basis of security of current assets, and hence reporting under clause (ii)(b) of the Order is not applicable.
- (iii) The Company has not made any investments in, provided any guarantee or security, and granted any loans or advances in the nature of loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties during the year, and hence reporting under clause (iii) of the Order is not applicable.
- (iv) The Company has not granted any loans, made investments or provided guarantees or securities and hence reporting under clause (iv) of the Order is not applicable.
- (v) The Company has not accepted any deposit or amounts which are deemed to be deposits. Hence, reporting under clause (v) of the Order is not applicable.
- (vi) Having regard to the nature of the Company's business / activities, reporting under clause (vi) of the Order is not applicable.
- (vii) In respect of statutory dues:
 - (a) Undisputed statutory dues, including Goods and Service tax, Provident Fund, Employees' State Insurance, Income-tax, duty of Custom, cess and other material statutory dues applicable to the Company have generally been regularly deposited by it with the appropriate authorities in all cases during the year.

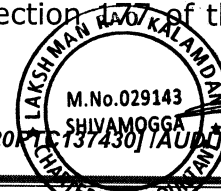




There were no undisputed amounts payable in respect of Goods and Service tax, Provident Fund, Employees' State Insurance, Income-tax, duty of Custom, Cess and other material statutory dues in arrears as at 31st March, 2024 for a period of more than six months from the date they became payable.

Sales tax, Service tax, duty of Excise and Value Added Tax are not applicable to the Company. Hence the reporting under clause (vii)(a) of the Order, with respect to these statutory dues, is not applicable.

- (b) There are no statutory dues referred in sub-clause (a) above which have not been deposited on account of disputes as on 31st March, 2024.
- (viii) There were no transactions relating to previously unrecorded income that were surrendered or disclosed as income in the tax assessments under the Income Tax Act, 1961 (43 of 1961) during the year.
- (ix) (a) The Company has not taken any loans or other borrowings from any lender. Hence reporting under clause (ix)(a) of the Order is not applicable to the Company.
- (b) The Company has not been declared wilful defaulter by any bank or financial institutions or government or any government authority.
- (c) The Company has not taken any term loan during the year and there are no unutilised term loans at the beginning of the year and hence, reporting under clause (ix)(c) of the Order is not applicable.
- (d) On an overall examination of the financial statements of the Company, funds raised on short-term basis have, prima facie, not been used during the year for long-term purposes by the Company.
- (e) The Company did not have any subsidiary or associate or joint venture during the year and hence, reporting under clause (ix)(e) of the Order is not applicable.
- (f) The Company has not raised any loans during the year and hence reporting on clause (ix)(f) of the Order is not applicable.
- (x) (a) The Company has not issued any of its securities (including debt instruments) during the year and hence reporting under clause (x)(a) of the Order is not applicable.
- (b) During the year the Company has not made any preferential allotment or private placement of shares or convertible debentures (fully or partly or optionally) and hence reporting under clause (x)(b) of the Order is not applicable to the Company.
- (xi) (a) To the best of our knowledge, no fraud by the Company and no material fraud on the Company has been noticed or reported during the year.
- (b) To the best of our knowledge, no report under sub-section (12) of section 143 of the Companies Act, 2013 has been filed in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government, during the year and upto the date of this report.
- (c) As represented to us by the Management, there were no whistle blower complaints received by the Company during the year and upto the date of this report.
- (xii) The Company is not a Nidhi Company and hence reporting under clause (xii) of the Order is not applicable.
- (xiii) In our opinion, the Company is in compliance with section 188 of the Companies Act, 2013 for all transactions with the related parties and the details of related party transactions have been disclosed in the financial statements etc. as required by the applicable accounting standards. The provisions of section 177 of the Companies Act, 2013 are not applicable to the Company.





- (xiv) In our opinion, requirements related to of internal audit system under section 138 of the Companies Act, 2013 are not applicable to the Company and hence reporting under clause (xiv) of the Order is not applicable.
- (xv) In our opinion during the year the Company has not entered into any non-cash transactions with its directors or persons connected with its directors and hence provisions of section 192 of the Companies Act, 2013 are not applicable to the Company.
- (xvi) The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Hence, reporting under clause (xvi)(a), (b) and (c) of the Order is not applicable.
- (xvii) The Company has incurred cash losses during the financial year covered by our audit INR NIL and the cash losses for immediately preceding financial year INR 3,30,901.
- (xviii) There has been resignation of the statutory auditors of the Company during the year and we have taken into consideration the issues, objections or concerns raised by the outgoing auditors.
- (xix) On the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements and our knowledge of the Board of Directors and Management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report which is not mitigated (refer Note 25 to the financial statements) indicating that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.
- (xx) The Company was not having net worth of rupees five hundred crore or more, or turnover of rupees one thousand crore or more or a net profit of rupees five crore or more during the immediately preceding financial year and hence, provisions of Section 135 of the Act are not applicable to the Company during the year. Accordingly, reporting under clause (xx) of the Order is not applicable for the year.


LAKSHMAN RAO KALAMDANI.
Chartered Accountant
Membership No.029143
BENGALURU, 20th June 2024
UDIN: 24029143 BK1 JMB 3828



CIN No. U66020KA2020PTC137430

(all amounts expressed in Indian Rupees)

See accompanying notes forming part of financials statements

For and on behalf of the board of directors
Virtual Galaxy Insurance Brokers Private Limited

Place : Bangalore
Date : June 20th, 2024



[Signature]

Place : Bangalore
Date : June 20th, 2024

(all amounts expressed in Indian Rupees)

As per my report of even date attached	For and on behalf of the board of directors Virtual Galaxy Insurance Brokers Private Limited
 Lakshman Rao Kalamdani Chartered Accountant M No. 029143 UDIN No.	 Prashant Narayanrao Nimgade Director Din- 0003325062
Place : Bangalore Date : June 20th, 2024	 Avinash Narayanrao Shende Director Din-02179381 Place : Bangalore Date : June 20th, 2024

Virtual Galaxy Insurance Brokers Private Limited

CIN No. U66020KA2020PTC137430

Notes forming part of financial statements for the Year ended March 31st, 2024

3 Share capital

Particulars	As at 31st March, 2024		As at 31st March, 2023	
	Number of shares	Amount	Number of shares	Amount
(a) Authorised Equity shares of Rs.10 each	10,00,000	1,00,00,000	10,00,000	1,00,00,000
(b) Issued Equity shares of Rs.10 each	7,50,000	75,00,000	7,50,000	75,00,000
(c) Subscribed and fully paid Equity shares of Rs. 10 each	7,50,000	75,00,000	7,50,000	75,00,000
Total	7,50,000	75,00,000	7,50,000	75,00,000

(i) Reconciliation of the number of shares and amount outstanding at the beginning and at the end of the period

Particulars	As at 31st March, 2024		As at 31st March, 2023	
	Number of shares	Amount	Number of shares	Amount
Equity shares with voting rights				
At the beginning of the year	7,50,000	75,00,000	7,50,000	75,00,000
Add: issued during the year	-	-	-	-
At the end of the year	7,50,000	75,00,000	7,50,000	75,00,000

(ii) Details of shares held by each shareholder holding more than 5% shares:

Name of the shareholder	As at 31st March, 2024		As at 31st March, 2023	
	No. of shares held	% of holding	No. of shares held	% of holding
Equity shares				
Prashanth Narayan Rao Nimgade	2,25,000	30%	2,25,000	30%
Virtual Galaxy Infotech Pvt Ltd	5,25,000	70%	5,25,000	70%

4 Reserves and surplus

Particulars	As at 31st March, 2024	As at 31st March, 2023
Surplus/(deficit) in statement of profit and loss		
Opening balance		
Add/(less): (loss)/profit for the year	(10,56,069)	(9,18,008)
Less: Transferred to retained earnings	33,92,865	(1,38,064)
Closing balance	23,36,796	(10,56,072)
Total	23,36,796	(10,56,072)



Virtual Galaxy Insurance Brokers Private Limited

CIN No. U66020KA2020PTC137430

Notes forming part of financial statements for the Year ended March 31st, 2024

5 Other current liabilities

Particulars	As at 31st March, 2024	As at 31st March, 2023
Other Payables		
(i) Statutory Payables		
- GST Payable	16,09,883	1,23,546
- TDS Payable	18,58,487	5,14,540
- Professional Tax Payable	1,600	8,918
(ii) Payables to Employees	5,68,935	11,05,523
(iii) Payable to SIP Fund Pvt Ltd	-	5,47,918
(iv) Advance from Customers	9,90,488	9,90,437
(v) Others		
- Audit fees payable	30,000	30,000
- Other Expense payable	2,68,000	-
Total	53,27,393	33,20,882

7 Long term loans and advances

Particulars	As at 31st March, 2024	As at 31st March, 2023
Unsecured, considered good		
Security deposit - Office Rent	1,57,500	1,57,500
Term Deposit in Kotak Mahindra Bank Ltd as per IRDA Regulation	11,76,127	10,30,831
Total	13,33,627	11,88,331

8 Trade receivables

Loans from Directors:	As at 31st March, 2024	As at 31st March, 2023
Unsecured, considered good		
Doubtful	31,04,637	3,67,636
Less: Provision for doubtful debts		
Sub total	31,04,637	3,67,636
Others - unsecured, considered good		
Total	31,04,637	3,67,636

9 Cash and cash equivalents

Particulars	As at 31st March, 2024	As at 31st March, 2023
(a) Cash on hand		
Cash	1,636	-
Amazon Voucher	-	23,793
(b) Balance with banks		
In current accounts	35,93,680	59,42,487
Total	35,95,316	59,66,280
Balance that qualify as cash and cash equivalents under as-3	35,95,316	59,66,280

10 Short term loans and advances

Particulars	As at 31st March, 2024	As at 31st March, 2023
Unsecured, considered good		
(a) Prepaid expenses	12,500	7,500
(b) Balance with government authorities		
GST Inputs Reco	1,63,605	1,17,736
Tax deducted at source	29,57,888	10,32,925



Property, Plant and Equipment
6. Tangible Assets

Particulars		Gross Block				Depreciation			Net Block	
		As at April 01st, 2023	Adjustment	Additions	Disposals	Adjusted with retained earnings	As at March 31, 2024	Charged for the Year	Eliminated on disposal of assets	As at March 31, 2023
Office Equipment	CY	88,797	-	12,710	-	-	1,01,507	33,689	18,401	49,417
Property, Plant and Machinery	CY	4,02,150	-	-	-	-	4,02,150	26,593	13,187	362,370
Computer & Accessories	CY	95,506	-	56,212	-	-	1,51,718	57,337	28,166	66,215
Furniture & Fixtures	CY	1,48,090	-	22,500	-	-	1,70,590	28,907	14,789	1,26,894
TOTAL - A	CY	7,34,543	-	91,422	-	-	8,25,965	1,46,526	74,543	2,21,069
Previous Year Total - A	PY	7,34,543	-	-	-	-	7,34,543	77,808	68,718	5,88,017
6A - Intangible Assets										

Particulars		Gross Block				Amortization			Net Block	
		As at April 01st, 2023	Adjustment	Additions	Disposals	Adjusted with retained earnings	As at March 31, 2024	Charged for the Year	Eliminated on disposal of assets	As at March 31, 2023
Computer Software	CY	13,82,003	-	35,43,091	-	-	49,25,094	2,67,213	7,03,633	9,70,846
TOTAL - B	CY	13,82,003	-	35,43,091	-	-	49,25,094	2,67,213	7,03,633	9,70,846
Previous Year Total - B	PY	6,00,000	-	7,82,003	-	-	13,82,003	1,47,213	2,67,213	4,80,000
Intangibles under Development	CY	21,16,546	-	36,34,513	-	-	57,51,059	7,78,176	-	11,14,790
GRAND TOTAL (A+B)	CY	13,34,543	-	7,82,003	-	-	21,16,546	1,97,808	-	17,02,807
PREVIOUS YEAR GRAND TOTAL (A+B)	PY	13,34,543	-	-	-	-	21,16,546	2,15,931	4,13,739	10,68,017



P. N. Singh

Calculation of Deprecation as per IT Act as on 31.03.2024



10

1. CORPORATE INFORMATION

To carry on the business of direct insurance broking business in life and general insurance in accordance with and as defined under IRDA Regulations issued from time to time. Matters which are necessary for furtherance of the object specified.

2. SIGNIFICANT ACCOUNTING POLICIES :

2.1 Basis for preparation of financial statements:

The Accompanying financial statements have been prepared under the historical cost convention in accordance with generally accepted accounting principles, the provisions of the companies Act, 2013 and the applicable accounting standards issued by The Institute of Chartered Accountants of India.

2.2 Presentation of financial statements

The Balance sheet and the statement of Profit and loss are prepared in the format prescribed in the Schedule III of the Companies Act 2013. The Cash Flow statement has been prepared and presented as per the requirements of Accounting Standard (AS) 3 " Cash Flow Statements". The disclosure requirements with respect to items in the Balance Sheet and Statement of Profit and Loss, as prescribed in the Schedule III to the Act, are presented by way of notes forming part of accounts along with the other notes required by the notified Accounting Standards.

2.3 Use of estimates:

The preparation of the financial statements in conformity with Indian GAAP requires the Management to make estimates and assumptions considered in the reported amounts of assets and liabilities (including contingent liabilities) and the reported income and expenses during the year. The Management believes that the estimates used in preparation of the financial statements are prudent and reasonable. Future results could differ due to these estimates and the differences between the actual results and the estimates are recognised in the periods in which the results are known / materialise.

2.4 Inventories:

Inventories are valued at cost or net realizable value, whichever is lower. Inventories are valued at FIFO basis and includes all purchase related expenses.

2.4 Cash and cash equivalents (for purposes of Cash flow statement):

Cash comprises cash on hand, demand deposits with banks and balance held by Payment gateway portal Go Cash & Paytm. Cash equivalents are short-term balances (with an original maturity of three months or less from the date of acquisition), highly liquid investments that are readily convertible into known amounts of cash and which are subject to insignificant risk of changes in value.

2.5 Cash flow statement:

Cash flows are reported using the indirect method, whereby profit / (loss) before extraordinary items and tax is adjusted for the effects of transactions of non-cash nature and any deferrals or accruals of past or future cash receipts or payments. The cash flows from operating, investing and financing activities of the Company are segregated based on the available information.

2.6 Depreciation / Amortization:

The company has adopted the computation of providing depreciation based on the life of the asset as prescribed in the Schedule II of the Companies Act 2013. Assets which value less than Rs. 5,000/- depreciation has been provided at the rate of 100% on a pro-rata basis as per the requirements of Companies act

2.7 Revenue Recognition:

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. The company derives its revenue primarily from Insurance Broking. The company acts as an intermediary between the insurance company and the policy holder. The performance obligation satisfies after 15 days from the date the policy is logged in with Insurer & Upon confirmation of the said event by the Insurer Invoice are raised.

2.8 Other income

Interest income is accounted on accrual taking into account the amount outstanding and the rate applicable.

2.10 Fixed Assets (Tangible/Intangible Assets)

Fixed Assets are valued at cost less Accumulated depreciation and impairment of loss if any. The cost is inclusive of all expenses incurred up to the stage of installation and ready for use.

2.11 Foreign currency transactions and translations

Transactions in foreign currencies entered into by the Company are accounted at the exchange rates prevailing on the date of the transaction or at rates that closely approximate the rate at the date of the transaction. Monetary assets and liabilities denominated in foreign currency are restated at the exchange rate prevalent on the Balance Sheet date and gain/ loss on such restatement is charged to the Statement of Profit and Loss.

P. M. J. 

2.12 Investments:

Long Term Investments are carried at cost. Diminution, if any, other than temporary, is provided for current Investments are carried at lower of cost or fair value

2.13 Employee Benefits:

- i) Company's contribution to provident fund, suerannuation fund and other fund is charges to Profit and Loss account
- ii) PF & ESI are treated as defined contribution plans. PF Contribution is made to the Regional Provident Fund Commissioner.

2.13 Borrowing Costs:

Borrowing costs that are attributable to the acquisition or construction of qualifying assets are capitalised as part of the cost of such assets. A qualifying asset is one that necessarily takes a substantial period of time to get ready for its intended use or sale. All other borrowing costs are charged to revenue.

2.14 Earnings per Share:

Basic earnings per share is computed by dividing the profit / (loss) after tax (including the post-tax effect of extraordinary items, if any) by the weighted average number of equity shares outstanding during the year.

2.15 Income Taxes:

Income Taxes are accounted for in accordance with Accounting Standard 22 on "Accounting for Taxes on Income", (AS 22) issued by The Institute of Chartered Accountants of India. Tax expense comprises both current tax and deferred tax. Current tax is measured at the amount expected to be paid or recovered from the tax authorities using the applicable tax rates. Deferred tax assets and liabilities are recognised for future tax consequence attributable to timing difference between taxable income and accounting income that are measure at relevant enacted tax rates. At each Balance sheet date the company reassesses unrealised deferred tax assets, to the extent they become reasonably certain or virtually certain of realisation, as the case may be.

2.16 Provisions and contingent liabilities:

Provision is made in the accounts in respect of those liabilities which are likely to materialise after year end, till the finalisation of accounts and have material effect on the position stated in the Balance Sheet. A contingent Liability is disclosed, unless the possibility of an outflow of resources embodying the economic benefit is remote.

A Additional Disclosures

15 Contingent liabilities and commitments (to the extent not provided for)

Particulars	As on March 31st, 2024	As on March 31st, 2023
Contingent liabilities and commitments	Nil	Nil

16 Disclosures required under Section 22 of the Micro, Small and Medium Enterprises Development Act, 2006

Particulars	As on March 31st, 2024		As on March 31st, 2023	
	Principal	Interest	Principal	Interest
Principal amount remaining unpaid to any supplier as at the end of the accounting year;	Nil	Nil	Nil	Nil
Interest due thereon remaining unpaid to any supplier as at the end of the accounting year;	Nil	Nil	Nil	Nil
The amount of interest paid along with the amounts of the payment made to the supplier beyond the	Nil	Nil	Nil	Nil
The amount of interest due and payable for the year;	Nil	Nil	Nil	Nil
The amount of interest accrued and remaining unpaid at the end of the accounting year.	Nil	Nil	Nil	Nil
The amount of further interest due and payable even in the succeeding year, until such date when the interest	Nil	Nil	Nil	Nil

17 Related party disclosure

Related parties:

a. Name the related party and nature of relationship control exists:

Sl.No.	Name of the party	Nature of Relationship
1	Prashant Naryan Rao Nimgade	Director
2	Avinash Narayanrao Shende	Director

b. Related Party transactions are as under Transactions with related parties

Sl.No.	Particulars	Amount in Indian Rupees	
		As on March 31st, 2024	As on March 31st, 2023
I	Transactions with KMP & their relatives		
	Remuneration to Prashant Naryan Rao Nimgade		
a	Loans and Advance - Prashant Naryan Rao Nimgade	51,00,000	16,66,665
	- given by Company	94,578	20,400
	- received by Company	1,23,533	49,353
II	Balance with related parties:		
	Salary payable to Prashant Naryan Rao Nimgade	87,978	5,36,405
	Loan Repayable to Prashant Naryan Rao Nimgade		28,953

Prashant Naryan Rao Nimgade
Rangalore
S60 003
PST 741

18 Earnings per share (EPS)

Earnings per share is calculated in accordance with Accounting Standard 20 – "Earnings per share", notified by the Companies (Accounting Standards) Rules, 2006.

Earnings per Share

Particulars	Amount in Indian Rupees	
	As on March 31st, 2024	As on March 31st, 2023
Profit available for share holders		
Weighted average no. of equity shares – Basic	33,92,865	(1,38,064)
Weighted average no. of equity shares – Diluted	7,50,000	7,50,000
Earnings per share – Basic	4.52	(0.18)

19 Ageing of Trade Payables

for the Year Ended 31st March, 2024

Sl. No.	Particulars	Amount in Indian Rupees				
		< 1 Year	1-2 Year	2-3 Year	> 3 Year	Total
i	MSME	-	-	-	-	-
ii	Others	4,13,869	24,420	-	-	4,38,289
iii	Disputed Dues - MSME	-	-	-	-	-
iv	Disputed Dues - Others	-	-	-	-	-
	Total	4,13,869	24,420	-	-	4,38,289

for the Year Ended 31st March, 2023

Sl. No.	Particulars	Amount in Indian Rupees				
		< 1 Year	1-2 Year	2-3 Year	> 3 Year	Total
i	MSME	-	-	-	-	-
ii	Others	5,33,427	53,713.00	-	-	5,87,140
iii	Disputed Dues - MSME	-	-	-	-	-
iv	Disputed Dues - Others	-	-	-	-	-
	Total	5,33,427	53,713.00	-	-	5,87,140.00

20 Ageing of Trade Receivables (Both Current & Non Current)

for the Year Ended 31st March, 2024

Sl. No.	Particulars	Amount in Indian Rupees					
		< 6 Months	6 Months - 1 Year	1 - 2 Years	2 - 3 Years	Total (A)	Not Due for Payment as on 31st March 2024
1	Undisputed Trade Receivables -	30,55,298	42,902	6,437	-	31,04,637	-
2	Undisputed Trade Receivables -	-	-	-	-	-	-
3	Disputed Trade Receivables -	-	-	-	-	-	-
4	Disputed Trade Receivables -	-	-	-	-	-	-
	Total	30,55,298	42,902	6,437	-	31,04,637	31,04,637

for the Year Ended 31st March, 2023

Sl. No.	Particulars	Amount in Indian Rupees					
		< 6 Months	6 Months - 1 Year	1 - 2 Years	2 - 3 Years	Total (A)	Not Due for Payment as on 31st March 2024
1	Undisputed Trade Receivables -	3,52,805	14,831	-	-	3,67,636	-
2	Undisputed Trade Receivables -	-	-	-	-	-	-
3	Disputed Trade Receivables -	-	-	-	-	-	-
4	Disputed Trade Receivables -	-	-	-	-	-	-
	Total	3,52,805	14,831	-	-	3,67,636	3,67,636

21 Ratio Analysis

Sl. No.	Particulars	Current Year A	Preceding Year B	Change in %C = (A-B)/B	Explanation if C is > 25%
1	Current Ratio	Current Asset/ Current Liabilities			
2	Debt Equity Ratio	Long Term Debt/ Equity			
3	Debt Service	PAT + Depreciation/Long Term Principle			
4	Return on Equity Ratio	PAT/ Equity			
5	Inventory Turnover	Turnover/ Inventory			
6	Trade Receivables	Turnover/ Receivables			
7	Trade Payables	Turnover/ Payables			
8	Net Capital	Turnover/ Capital Employed			
9	Net Profit Ratio	Net Profit/ Turnover			
10	Return on Capital Employed Ratio (ROCE)	ROCE=ROI/ (Capital Employed = (All Assets - Current Liability) OR (Equity + Long Term Debt))			
11	Return on Investment (ROI)	Net Profit / Capital Employed			

Signature
Virtual Galaxy Insurance Brokers Private Limited
Bangalore
S60 205

Virtual Galaxy Insurance Brokers Private Limited

CIN No. U66020KA2020PTC137430

Notes Forming Part of Financial Statements for the Year ended March 31st, 2024

- 22 The IRDA license expired on 29.06.2024. The company applied for renewal of IRDA license for next three financial years beginning from FY 2024-25 and application for renewal thereof on 09.04.2024 filed. The license renewal application also envisaged swap of shareholding to 70:30 on the basis of revised Shareholders Agreement (SHA) dt. 21st June 2024 between M/s Virtual Galaxy Infotech Private Limited; Mr Prashant Nimgade and M/s Virtual Galaxy Insurance Brokers Private Limited from the erstwhile shareholding of 30:70 as on 31st March 2024. The IRDA has approved the renewal of license on the condition of swap of shareholding to 70:30 between Mr. Prashant Nimgade and M/S Virtual Galaxy Infotech Private Ltd in place of erstwhile shareholding of 30:70. However, the

Name of the Share holders:	As at 31st March 2023		As at 31st March 2024		Position of Shareholding post completion transfer of shares	
	No. of Shares	% age of Share Holding	No. of Shares	% age of Share Holding	No. of Shares	% age of Share
Prashant Narayan Rao Nimgade	2,25,000	30%	2,25,000	30%	5,25,000	70%
Virtual Galaxy Infotech Pvt Ltd	5,25,000	70%	5,25,000	70%	2,25,000	30%

- 23 Previous year's figures have been regrouped or reclassified wherever necessary to correspond with the current year classification or disclosure.

- 24 Figures are rounded off to the nearest rupee.

- 25 Deferred Tax

Particulars	Amount in Indian Rupees	
	As on March 31st, 2024	As on March 31st, 2023
Opening Deferred Tax (Asset)		
Current Year Deferred tax Income (P&L)	31,265	8,171
Closing Deferred tax (Asset)	92,974	23,094
	1,24,239	31,265

As per my report of even date attached

For and on behalf of the Board of Directors
Virtual Galaxy Insurance Brokers Private Limited

Lakshman Rao Kalamdani
Chartered Accountant
M No. 029143
UDIN No.

Prashant Narayanrao Nimgade
Director
Din- 0003325062

Avinash Narayanrao Shende
Director
Din-02179381

Place : Bangalore
Date : June 20th, 2024

Place : Bangalore
Date : June 20th, 2024

Fixed Assets as 31st March 2022

411,719.00
-7,781.76.00

Software

Computer & Accessories
Furniture & Fixtures
Office Equipment



Under Companies Act

	Basis		TOTAL
% of Sales		100.00%	100%
fixed Assets Depreciation	Actual	7,78,176	7,78,176
TOTAL	-	7,78,176	-

Under Income Tax Act

	Basis		TOTAL
% of Sales	0.00%	100.00%	100%
fixed Assets for Depreciation	Actual	11,35,768	11,35,768
TOTAL	-	11,35,768	-

Deferred Tax

Particular		DTA	DTL
Depreciation as per Income Tax	11,35,768		
Depreciation as per Books	7,78,176		
Difference	3,57,592	92,974	
Gratuity and leave Encashment disallowed	-	-	
Provision for doubtful debts	-	-	
	92,974		
Opening Deferred Tax liability			
Current Year Deferred tax income (P&L)			92,974
Closing Deferred tax liability			92,974

Gratuity & leave Encashment

DTL

Opening 31,265
 Retained earnings -
 P&L 92,974
 Closing 1,24,239



Virtual Galaxy Insurance Brokers Private Limited
CIN No. U66020KA2020PTC137430
Computation of Deferred tax for the period as on 31.03.2024

Under Companies Act					
% of Sales	Basis		100.00%		TOTAL
					100%
fixed Assets Depreciation	Actual	-	7,78,176	-	7,78,176
TOTAL		-	7,78,176	-	7,78,176

Under Income Tax Act					
% of Sales	Basis	0.00%	100.00%		TOTAL
					100%
fixed Assets for Depreciation	Actual		11,35,768		11,35,768
TOTAL		-	11,35,768	-	11,35,768

Deferred Tax

Particular		DTA	DTL
Depreciation as per Income Tax	11,35,768		
Depreciation as per Books	7,78,176		
Difference	3,57,592	92,974	
Gratuity and Leave Encashment disallowed	-	-	
Provision for doubtful debts	-	-	
		92,974	
Opening Deferred Tax Liability			-
Current Year Deferred tax Income (P&L)			92,974
Closing Deferred tax Liability			92,974

DTL

Gratuity & Leave Encashment

Opening 31
Retained earnings -
P&L 93
Closing 124

PM

